would be the end of the decline because it was resting on support. Indeed, the stock moved sideways for 3 months.

When the stock fell through the ice supporting it, I sold. Perfect entry, but a very late exit.

Texas Industries

I don't know if it was too soon to realize we had entered a bear market on 3 August 2000 (which started on 24 March 2000), but sometimes stocks like to go their own way.

Texas Industries (TXI) formed a large and loose-looking descending wedge. The day after it broke out upward, I was there with a fist full of bucks. I bought, so it was the perfect entry.

From my notebook: “Reasons for purchase: It has made an upside breakout, on weak volume, from a descending broadening formation. The Fed [Federal Reserve] is going to impose antidumping penalties as high as 95.29% on imports of certain types of coated-steel sheet. This may help the co. After reviewing stats in [this] Encyclopedia book for broadening wedge, descending, it looked like a good trade. Upside is 36, downside is 30, evenly split from 33. I think this will continue moving higher, maybe to the old high at 43 3/8.” I received a fill at 33.06.

The stock eased a bit lower as if it were making a flag pattern. The drift down wasn't much, but it lasted over a week. Then the stock took off. In 3 days it was just 6 cents below 35. And then the stock dropped like a stone all the way down to 20.88, a decline of 40%, bottoming in November.

Fortunately, I pulled a rabbit out of my hat and on 23 August, I sold the stock for a profit. From my notebook: “I sold around 33 9/16. I think the stock is heading down as it is following the others moving down. All are off their peaks by 1 1/2 to 2 1/2 points, and I don't see a turnaround.”

I made 1% on the trade on a position about half the normal size.

Lesson? I'm not sure there is one. I made a perfect entry but a late exit. The stock rounded over at the peak and then started heading lower with gusto. I sold quickly for a profit and avoided taking a 40% loss.